

What is really driving NovaCorp's people cost — and where should we act first?

People Analytics Challenge | CHRO + CFO decision deck | August 2026

\$30.0M

C1 gross replacement-cost exposure
153 regrettable exits

\$47.3M

C2 gross productivity scenario
15% Finance assumption

\$58.5M

C3 gross agency fee premium
vs \$5,500 direct benchmark

The \$42M is the starting cost lens — not a sum we need to defend. We identify the mechanisms underneath it, test their evidence, and prioritise what the CHRO can change.

13,403 employee records • 1,400 departures • 55,971 engagement observations • 34,979 performance records

Three cost mechanisms. Three different levers.

The decision is not “how do we reduce people cost?” — it is “which mechanism can we change first?”

C1 RETENTION

Largest exposure

Career opportunity pull + compensation positioning

C2 PRODUCTIVITY

Most tractable

Manager effectiveness is the strongest observed correlate of disengagement

C3 HIRING

Fastest policy lever

Agency premium + acquisition integration failure

STRATEGIC CONTEXT

- FY2025 voluntary attrition: 10.4%; FY2026 target: <9.5%
- Entity_B remains the primary integration risk
- People Reinvention Programme already has budget allocated
- FY2025 personnel expense: \$1.75B
- FY2026 integration cost guidance: \$40–50M
- R&C talent stabilisation is explicitly a Board priority

Evidence architecture: observed fact → inference → scenario

This is how we protect analytical integrity and avoid turning correlation into causation.

OBSERVED

Directly calculated from the four datasets or stated in the Annual Report.

Examples: 153 regrettable exits; 10.4% voluntary attrition; 595 high-value employees below 0.95 compa.

INFERRED

Cross-source interpretation supported by multiple signals.

Example: career opportunity and pay positioning appear to operate together in retention risk.

SCENARIO

Decision economics, not a forecast.

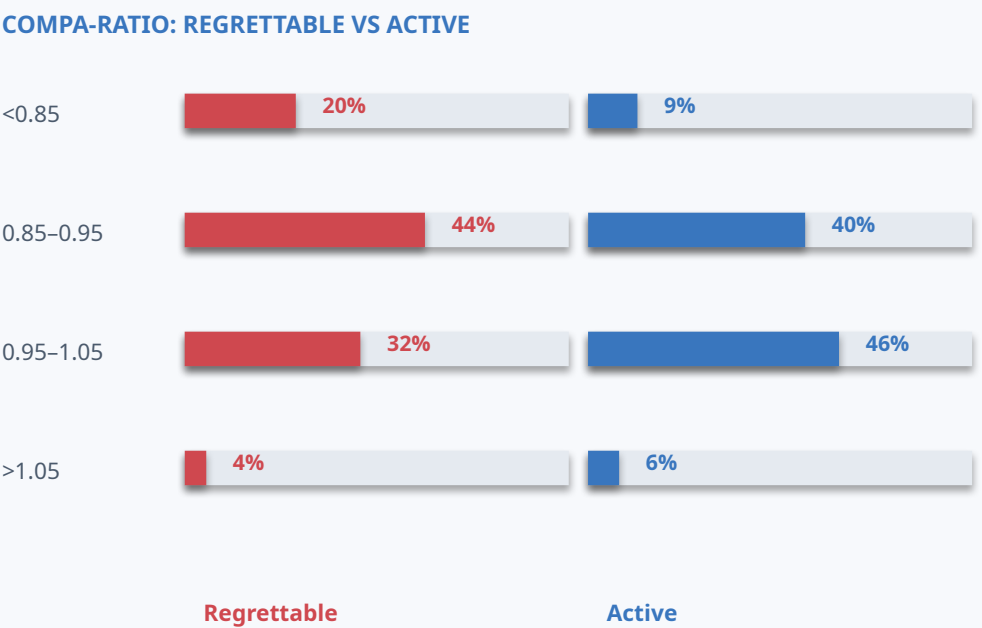
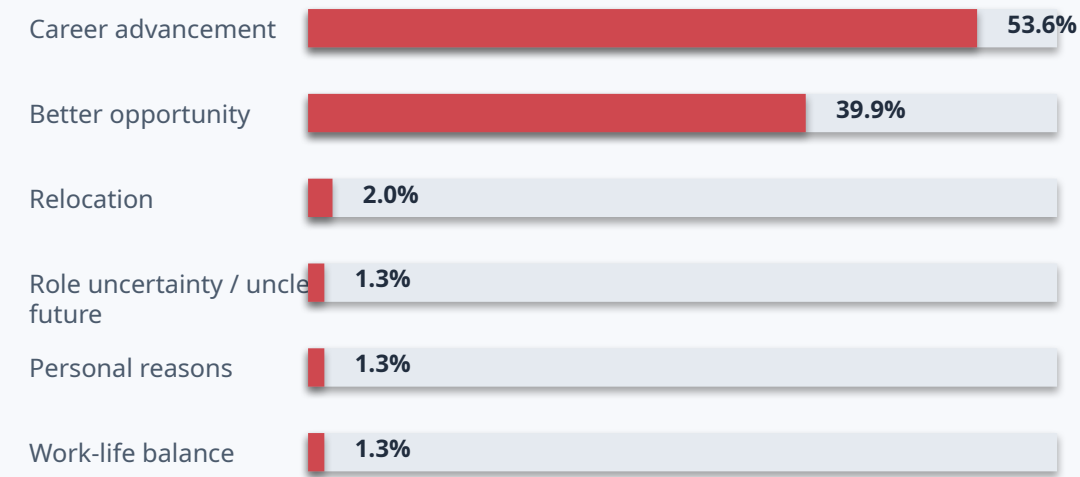
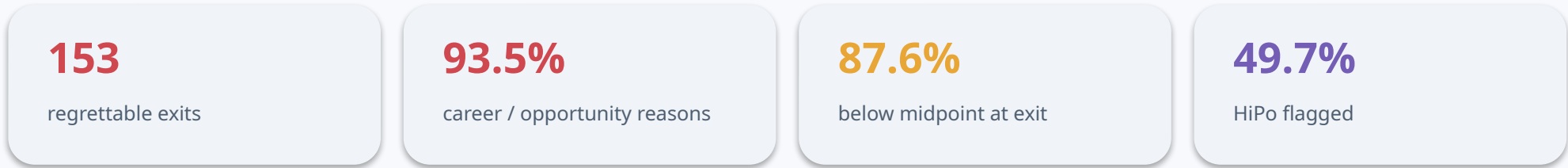
Example: a 30% reduction in disengagement-related loss would imply a \$X benefit under Finance’s 15% assumption.

Ethical boundary: demographic variables are monitored for equity, not used to rank individual employees. “Flight-risk” is not a predictive label here; priority populations are cohort screens for human review. No automated employment decision is recommended.

Population definitions are fixed before outcome comparison; departed employees are excluded from current productivity-loss cohorts.

C1 — regrettable attrition: career pull and pay position converge

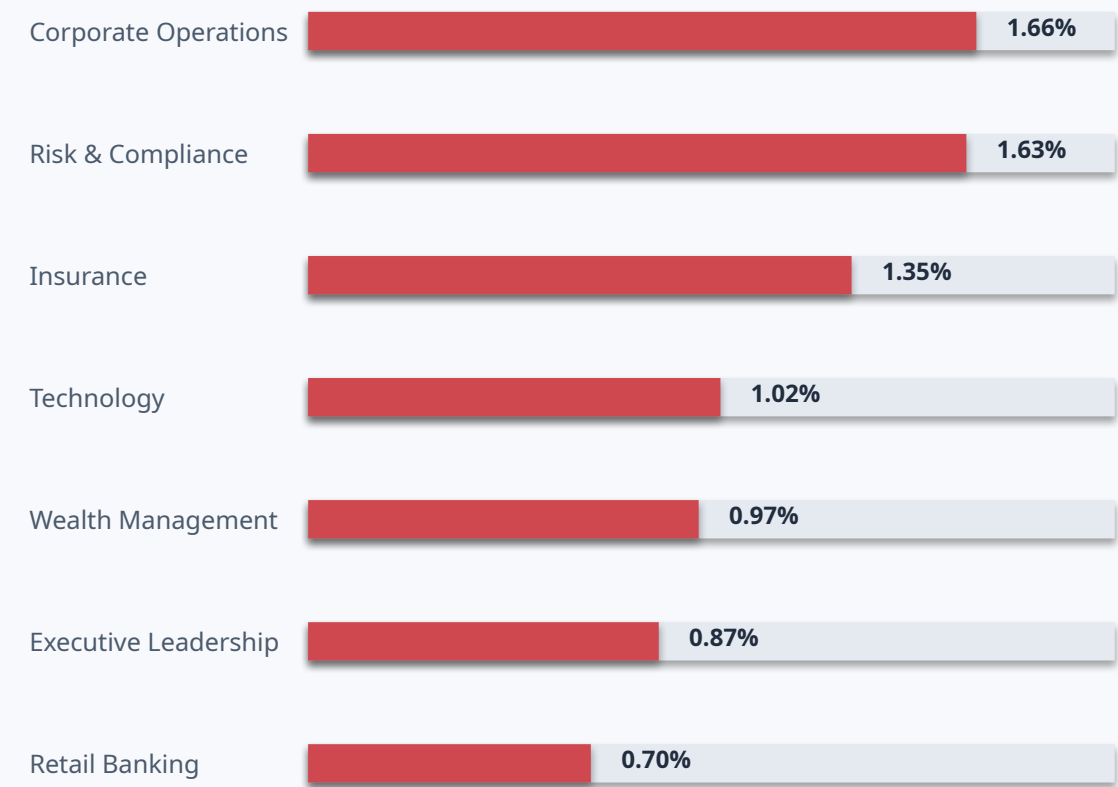
153 voluntary regrettable exits; 93.5% cite career advancement or a better opportunity.



Exit reasons are directional — not causal evidence.

C1 — where the retention exposure concentrates

Risk & Compliance and Corporate Operations have the highest regrettable-exit rates in the employee dataset.



RETENTION EXPOSURE

\$30.0M

gross replacement-cost exposure
(1.5× base salary)

TWO DIFFERENT PROBLEMS

- High-volume early-tenure exits → onboarding / integration lever
- Senior / high-value exits → career path + compensation lever

R&C is also a regulatory-continuity issue under FAR — not merely a turnover metric.

C1 — protect the pipeline, but do not call it a prediction

A high-value retention cohort exists today; the data does not justify assigning an individual probability of exit.



PRIORITY RETENTION COHORT — SCREEN, THEN HUMAN REVIEW

595 active HiPo / High Performer employees have compa-ratio <0.95

Average compa-ratio: 0.860 • targeted cost to reach 0.98: \$9.0M annual payroll

ETHICAL GUARDRAIL

Do not label these employees “flight risks”. Use cohort screening to prioritise retention conversations; managers/HR make the final judgement.

Scenario only: if 10% of a \$156.5M exposure pool were to leave, the implied replacement cost would be \$15.7M. This is not a forecast.

C2 — manager effectiveness is the strongest observed correlate of disengagement

The relationship is large; the causal claim is intentionally narrower.

PERSISTENT DISENGAGEMENT RATE

38.3%

manager rating
<2.5

5.6%

manager rating
≥4.0



6.8× difference • $\chi^2=1,517$ • $p<0.0001$ • $d=1.95$

WHAT THE DATA SUPPORTS

Manager effectiveness is strongly associated with persistent disengagement. The effect is large enough to justify intervention.

WHAT IT DOES NOT SUPPORT

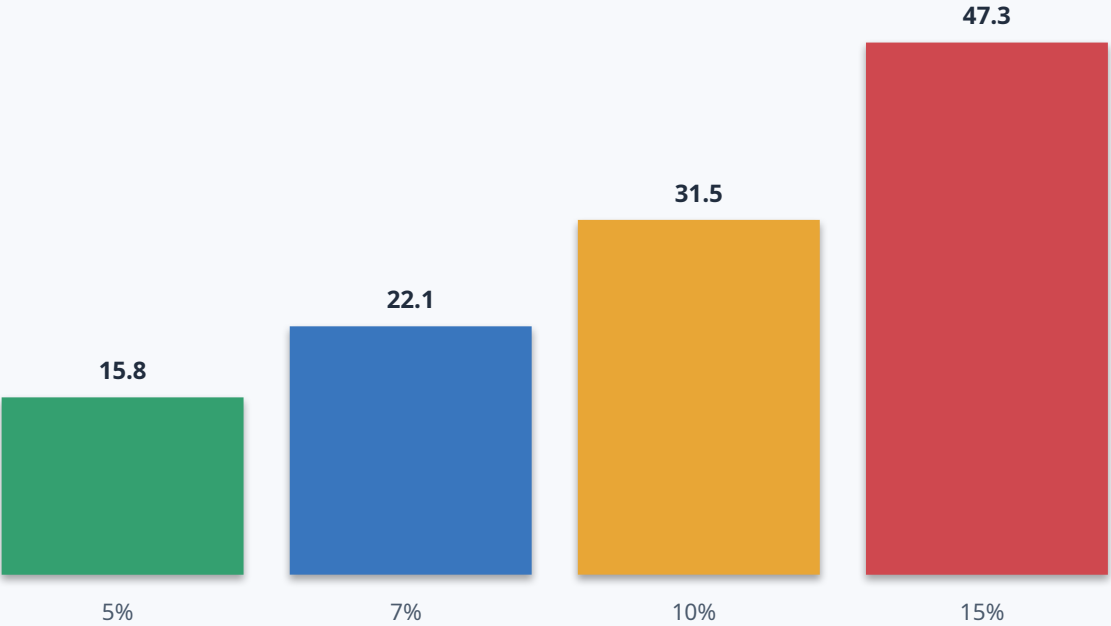
Manager quality is not proven to cause attrition; the observed manager-attrition correlation is $r=0.005$, $p=0.88$.

DECISION IMPLICATION

Intervene on manager capability because it is high-evidence, CHRO-controllable and measurable at the next engagement wave.

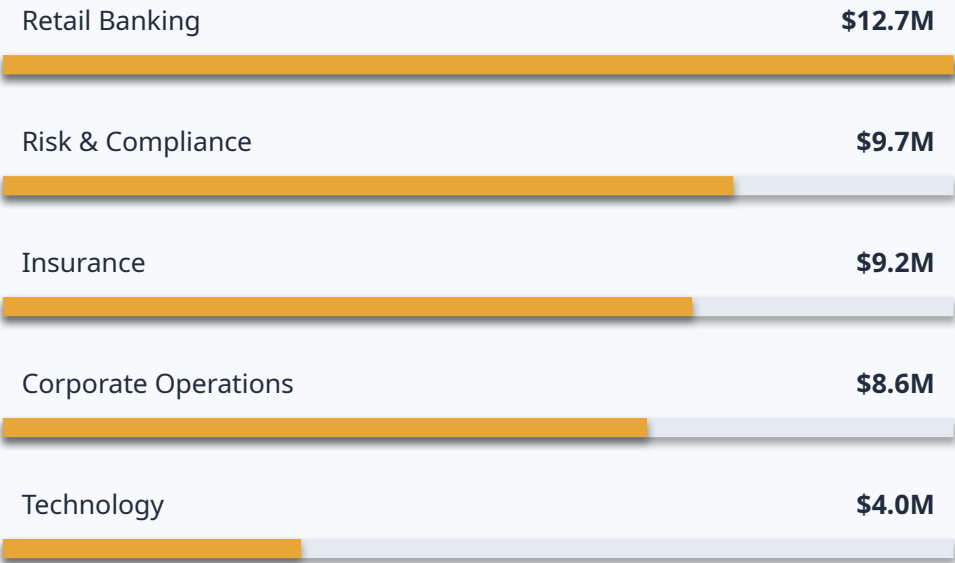
C2 — the economics are assumption-sensitive, which changes how we govern the programme

At Finance's 15% assumption, the productivity lens is \$47.3M in our reproducible population; at 5%, it is \$15.8M.



Finance's 15% assumption is retained for comparability — not treated as a measured productivity loss.

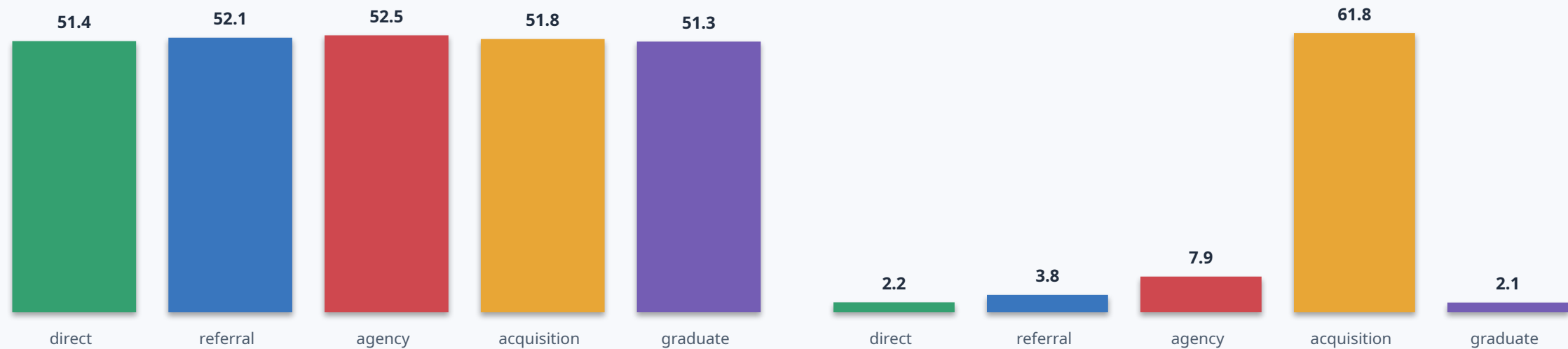
WHERE THE DISENGAGEMENT COST SITS



Governance trigger: Wave 6 should test whether manager scores improve ≥ 0.3 and whether disengagement falls. If not, reassess the 15% economic assumption and programme design.

C3 — agency is not faster; integration is the bigger hiring failure

Source data shows no meaningful speed advantage for agency hiring, while early attrition is materially lower for direct/referral hires.



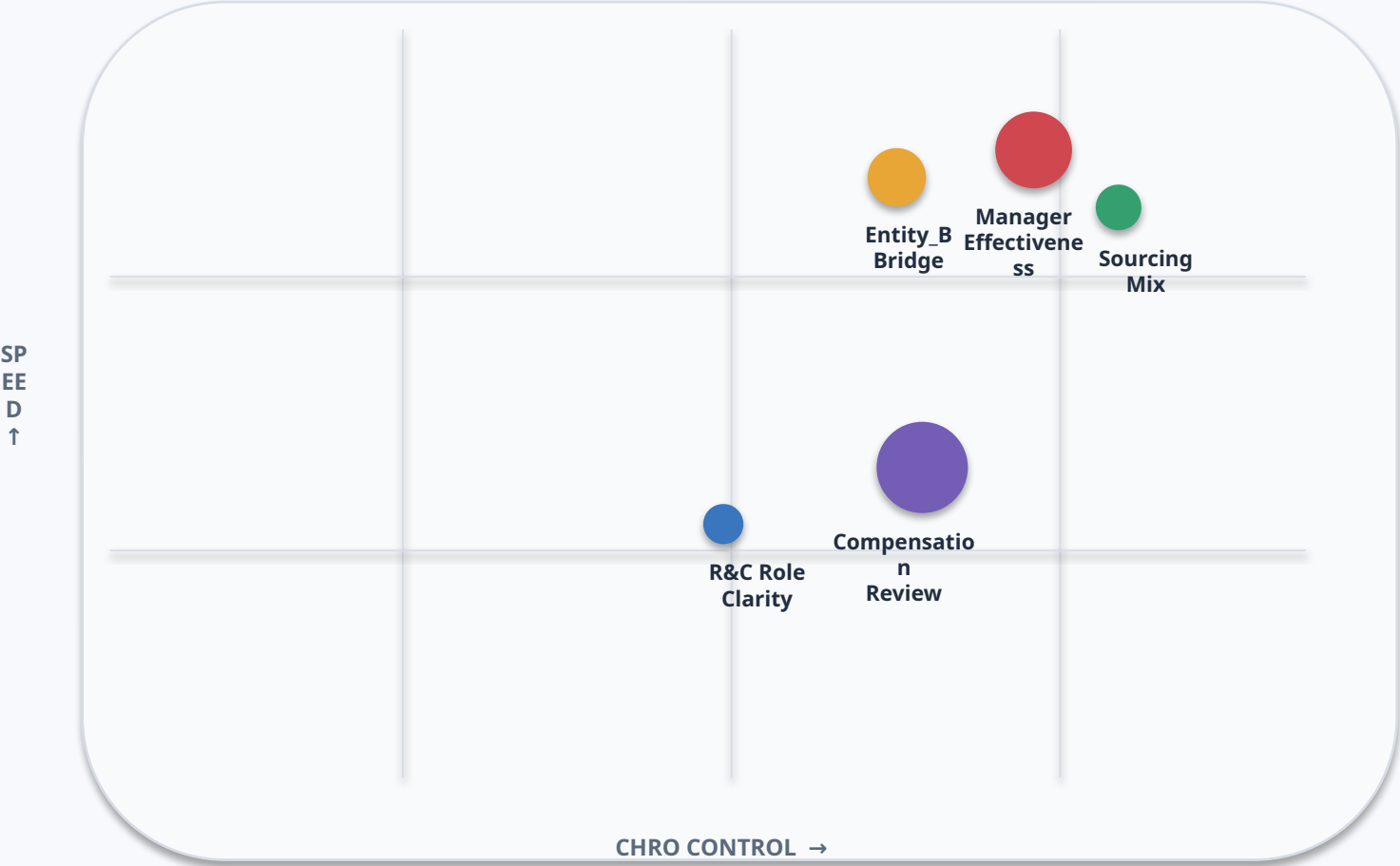
Days-to-fill differences are small; ANOVA in the challenge brief: $F=1.11$, $p=0.35$.

Early attrition (≤ 12 months): direct 2.2%; referral 4.6%; agency 7.9%; acquisition 64.5%.

Agency fee premium in the full agency population: \$58.5M vs the \$5,500 direct-hire benchmark. This is gross fee exposure — not a recommended saving target.

Priority is evidence × control × speed — not simply the biggest dollar number

The CHRO should start with interventions that are observable, controllable and testable within 90–180 days.



RECOMMENDED ORDER

01

Manager effectiveness
Highest evidence / control

02

Entity_B bridge
Time-bound integration risk

03

Targeted compensation
Largest retention leverage

04

Sourcing policy
Fast policy lever

05

R&C role clarity
Regulatory continuity

Recommendation 1 — launch a manager-effectiveness reset in 30 days

Do not “rank bad managers”. Diagnose the teams with the strongest evidence of disengagement and invest in capability.

TARGET COHORT

333

bottom-quartile managers
(≥3 reports)

608 disengaged employees sit under this cohort

15% scenario cost: \$12.7M
30% improvement: \$3.8M

90-DAY DELIVERY PLAN

- 1-30** Identify team-level priority cohort; frame as development, not performance management.
- 31-60** Diagnostics in Corporate Operations, Insurance, R&C; test span, resourcing and manager context.
- 61-90** Coaching cohort for highest-need managers; 1:1 support where team context warrants it.
- Wave 6** Re-test manager effectiveness + disengagement; stop/scale based on observed movement.

Success gate: ≥0.3-point manager-effectiveness improvement in the target cohort by Wave 6. The \$ benefit is a scenario until this test is passed.

Recommendations 2 + 3 — protect high-value talent while Entity_B’s window is still open

Two actions require CFO/CEO partnership: targeted pay correction and a time-bound integration retention bridge.

02 TARGETED COMPENSATION REVIEW

595 active HiPo / High Performers

compa-ratio <0.95 • average 0.860

Cost to reach 0.98: \$9.0M annual payroll

Replacement-cost exposure if all departed: \$112.6M

- Prioritise <0.90 compa + Outstanding/High Performer
- Benchmark L1–L3 against relevant market rates
- Use remuneration cycle; CFO sign-off

03 ENTITY_B RETENTION BRIDGE

138 active Entity_B HiPos

23 meet the low-engagement screen (<3.3) in our reproducible 3+ wave cohort

Scenario: 50 targeted retention agreements × \$15K = \$0.75M

Illustrative replacement exposure protected: \$9.4M

- Identify top 50 using cohort screen + HR review
- Cliff-vest to integration completion
- Start cultural integration now; do not wait for systems

Entity_B is explicitly the Annual Report’s primary integration risk.

Recommendations 4 + 5 — make R&C resilient and stop paying for unnecessary sourcing premium

Policy changes can start immediately, specialist roles remain exempt where external search genuinely adds value.

04 RISK & COMPLIANCE TALENT STABILISATION

1.63% regrettable rate

highest among major operating departments in the dataset

- Map FAR accountability to L3-L4 roles
- Benchmark regulatory specialist compensation
- Clarify success criteria and escalation pathways
- Owner: CHRO + CRO + Legal; 60-90 days

Strategic reason: regulatory continuity, not just turnover.

05 SOURCING MIX POLICY

Agency ≠ faster

challenge ANOVA: F=1.11, p=0.35

- Default to direct/referral where feasible
- Agency only for specialist / hard-to-fill roles
- Track fee per hire + 12-month quality outcome
- Review 25% / 50% / 75% shift scenarios

Gross agency fee premium: \$58.5M — not all recoverable.

Financial case: separate investment, annualised benefit, and exposure protected

This is the CFO view — no scenario saving is presented as realised cash.

INTERVENTION	INVESTMENT	VALUE LENS	GATE
Manager effectiveness	\$2.5M programme	\$3.8M scenario benefit*	Wave 6 validation
Targeted compensation	\$9.0M payroll	\$112.6M replacement exposure	Retention outcome required
Entity_B bridge	\$0.75M scenario	\$9.4M illustrative exposure	50-person scenario
Sourcing mix	Policy / <\$0.5M	\$58.5M gross fee premium	25/50/75% scenario
R&C stabilisation	\$1.0M scenario	\$2–3M + continuity risk	12-month review

FY2026 ATTRITION TARGET

10.4%



<9.5%

Do not claim a modelled –0.8pp effect until outcomes are observed. Use Wave 6 + FY2026 attrition as the executive scorecard.

*Scenario uses a 30% improvement assumption. “Exposure protected” is not the same as cash saving. Update values after implementation.

The decision for Monday: fund the test, protect the window, and measure the outcome.

What the data establishes — and what it deliberately does not claim.

01 RETENTION

153 regrettable exits show a strong career/opportunity signal, with concurrent pay-position disadvantage.

02 PRODUCTIVITY

Manager effectiveness is strongly associated with disengagement; this is the most CHRO-controllable lever.

03 TIME-BOUND RISK

Entity_B and R&C are explicitly identified strategic talent risks in the Annual Report.

THREE ACTIONS BY MONDAY

- 1 Authorise the manager-effectiveness diagnostic and Wave 6 measurement gate.
- 2 Put the 595-person targeted compensation benchmark in front of CFO/RemCo.
- 3 Assign an Entity_B retention bridge owner and complete the top-50 human review.

Spend existing People Reinvention capacity where the evidence is strongest — and prove the result.